

We expect more regulatory changes in this market segment,” says Lunawat, whose investment banking firm has managed the highest number of SME IPOs till date.

It is widely believed that the recent checks put in place by the exchanges are just the start of a series of actions aimed at keeping mischief-makers at bay. This could impact the growth of the segment in terms of IPO flow, but will benefit investors in the long term.

To start with, these measures are expected to make the pricing of SME IPOs and demand for shares more realistic. This is significant because though the pace of activity is picking up, there is a feeling that the window of opportunity may be short and markets may turn volatile as election fever takes hold and investors turn selective.

IT'S ALL ABOUT TIMING

“September 2023 has been a great month for IPOs on the mainboard and also the SME platform, but going forward, expect the flurry of activity to reduce significantly as we get closer to the general elections slated for April–May 2024,” says Arun Kejriwal, Founder of Kejriwal Research & Investment Services. “I believe the window for mainboard IPOs would at best be open till February, with some spillover in March.”

48 | The IPO arena may be enjoying its best phase this calendar year, but companies and merchant bankers need to be cautious in terms of the timing and pricing of the issue. These past few years have taught investors many lessons, especially regarding new-age companies as firms like Zomato, Paytm, Policybazaar, and Nykaa entered the public markets in 2021 and 2022.

This year, Yatra Online debuted on the bourses, while the likes of Oyo, Mamaearth, and Go Digit General Insurance are in the process of entering the public markets. These firms appear to have learnt the lesson, especially from the post-listing performance of those that went public in the past two years and witnessed a huge fall below their issue price. Such has been the impact that it still plays a role in how companies with a primarily digital presence price their shares. “That obviously plays a role in pricing, as it ultimately gets determined by market forces,” says Dhruv Shringi, Co-Founder & CEO of Yatra. “Key constituents and market forces have become wiser after what happened. So, pricing is a lot more rational today than it was two years ago,” he adds.

Pricing is not the only aspect that has come under scrutiny. Kulbhushan Parashar, Founder and Managing Director of advisory firm Corporate Capital Ventures, believes it is imperative to exercise caution when valuations are excessively elevated, since there is a possibility of subpar companies seeking valuations that are higher



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than what would be prudent. “Various industries and thematic stocks may receive valuations that surpass their intrinsic worth. Nevertheless, it is anticipated that this market will gradually return to a more rational state,” he says.

Lunawat says there’s now a clear trend of issues that are fairly priced attracting huge market response, while those that aren’t are barely getting subscribed.

Though there has been a flurry of issues, none of the mainboard IPOs this year are expected to make it to the top of the league in terms of overall subscription numbers. One reason for this, analysts feel, could be the bunching up of issues. Others feel this is just an indication of investor interest. “We do tend to launch issues once we see enough interest from the launch perspective for the overall deal. I don’t think there is an intentional case where we want to bunch a lot of issues in a particular month or anything like that,” says Vishal Bangard, Vice President at IIFL Securities.

Views may differ, but one thing is certain: investors have learnt the hard way in recent years and will pick stocks based on factors like pricing, business model, and outlook for the sector.

Companies will do well to keep this in mind. The window is short, and the clock is ticking. **BT**

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